

**PUBLIC VERSION:
PRIVILEGED AND CONFIDENTIAL INFORMATION
HAS BEEN REMOVED
18 C.F.R. § 388.112**

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

UBS Asset Management Inc.

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Docket No. EL22-____-000

**PETITION FOR DECLARATORY ORDER
AND REQUEST FOR EXPEDITED ACTION
AND CONFIDENTIAL TREATMENT**

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Pursuant to Rules 207 and 212 of the Rules of Practice and Procedure of the Federal Energy Regulatory Commission (“Commission”),¹ UBS Asset Management (Americas), Inc. (“Petitioner,” “UBS AM” or “Advisor”) hereby submits this petition for a Declaratory Order (“Petition”) related to investments in “public utilities” made through Energy Storage Investment Fund I, LP (“ESIF”) and Energy Storage (Feeder) Investment Fund I, LP, (“ESIF Feeder”), which are Limited Partnerships that “LP Investors” invest in and receive “LP Interests” in return (the “Transactions”). Petitioner also requests that this Petition apply to to-be-formed private equity investment funds that will be formed in the future (collectively, with ESIF and ESIF Feeder, the “UBS Funds”).

In particular, subject to the commitment that there will be no material changes in the

¹ 18 C.F.R. §§ 385.207 and 212 (2021).

rights and obligations of the LP Investors, ESIF, ESIF Feeder, or future UBS Funds from what is set forth herein, Petitioner respectfully request that the Commission issue a Declaratory Order determining that:

- (1). Current and future LP Interests are passive investments that do not allow the LP Investors to manage, direct, or control the activities of the UBS Funds, or future Commission jurisdictional public utilities;
- (2). Transactions resulting in the purchase and sale of LP Interests do not require case specific approval pursuant to Section 203 of the Federal Power Act (“FPA”)² and, to the extent relevant, qualify for the benefit of blanket authorization with respect to non-voting securities under 18 C.F.R. § 33.1(c)(2)(i);
- (3). UBS Funds, or their affiliates, do not need to identify the LP Investors in any future FPA Section 203 application, FPA Section 205³ market-based rate applications, notice of change in status or updated market power analysis; and
- (4). The Commission does not have jurisdiction under FPA Section 201⁴ over UBS Funds and the LP Investors, and the LP Investors are not holding companies under the Public Utility Holding Company Act of 2005 (“PUHCA”).

As discussed below, such determinations are consistent with Commission precedent and the treatment of passive investments in jurisdictional public utilities under similar facts and circumstances.⁵

I. EXECUTIVE SUMMARY

ESIF and ESIF Feeder are private equity funds focusing on investment in utility-scale energy storage projects in North America. It is anticipated that ESIF Feeder will invest in ESIF. UBS AM is the investment manager selected by Energy Storage I GP, LLC (“General Partner” or

² 16 U.S.C. § 824b (2018).

³ 16 U.S.C. § 824d.

⁴ 16 U.S.C. § 824.

⁵ See *Starwood Energy Grp. Global, L.L.C.*, 153 FERC ¶ 61,332 (2015) (“*Starwood*”); *AES Creative Resources, L.P., et al.*, 129 FERC ¶ 61,239 (2009) (“*AES Creative*”); *Ad Hoc Renewable Energy Fin. Grp.*, 161 FERC ¶ 61,010 (2017) (“*Ad Hoc Renewable*”).

“GP”)⁶ to manage ESIF and ESIF Feeder pursuant to an Advisory Agreement.

Pursuant to the Limited Partnership Agreement (“LP Agreement”), current and future LP Interests held by the LP Investors are, and will continue to be, passive in nature and in no case grant an exercise of control (including voting or equivalent rights in connection with any jurisdictional facility under the FPA) by any such LP Investor over the UBS Funds, or any public utility in which the UBS Funds hold an interest. Instead, pursuant to the provisions of the LP Agreement, the management, control, operation, and policy of the UBS Funds is vested exclusively with each fund’s general partner, and the general partner has the authority to enter into an investment management agreement (“Advisory Agreement”) with an Advisor selected by the General Partner.⁷

Petitioner commits that LP Investors’ rights and obligations are limited to veto and consent rights necessary to protect their economic interests, and are to provide no authority to manage, direct or control the activities of any jurisdictional assets. Furthermore, subject to the commitment that there will be no material changes in the rights and obligations of the LP Investors from what is set forth herein, Petitioner requests that the Commission issue a Declaratory Order finding that:

- (1). Current and future LP Interests are passive investments that do not allow the LP Investors to manage, direct, or control the activities of the UBS Funds, or future Commission jurisdictional public utilities;
- (2). Transactions resulting in the purchase and sale of LP Interests do not require case specific approval pursuant to Section 203 of the FPA and, to the extent relevant, qualify for the blanket authorization with respect to non-voting securities under 18 C.F.R. § 33.1(c)(2)(i);
- (3). The UBS Funds or their affiliates do not need to identify the LP Investors in any future FPA Section 203 application, FPA Section 205 market-based rate applications, notice of change in status or updated market power analysis; and

⁶ LP Agreement § 3.1(c).

⁷ LP Agreement § 3.1.

- (4). The Commission does not have jurisdiction under FPA Section 201 over the UBS Funds and the LP Investors, and the LP Investors are not holding companies under PUHCA.

As set out in more detail below, such determinations are consistent with the Commission's findings in *Starwood* and the treatment of passive investments in jurisdictional public utilities under similar facts and circumstances.⁸ Except for the GP, investors in the UBS Funds will hold LP Interests. Such LP Interests are in each case purely passive in nature and in no case involve an exercise of control (including voting or equivalent rights in connection with any "jurisdictional facility" under the FPA) by any such unaffiliated investor.

Moreover, in Order No. 860, the Commission reemphasized its case-specific determinations as to passivity and an entity's reporting obligations.⁹ In particular, the Commission noted that "[c]onsistent with current Commission policy, Sellers must continue to disclose new passive owners should the Seller acquire them unless those Sellers received case-specific determinations as to passivity and reporting obligations under a declaratory order."¹⁰

In order to comply with the Commission's reporting requirements and in order to create administrative efficiency by ensuring that current passive investors in ESIF, ESIF Feeder, and potential future investors in to-be-formed funds are not required to seek Commission authorization for the sale and purchase of passive interests in Commission-jurisdictional public utilities, Petitioner seeks the requested case-specific determinations. Furthermore, Petitioner commits to inform the Commission of any change in circumstances that would reflect a departure from the

⁸ See also *FPA Section 203 Supplemental Policy Statement*, FERC Stats. & Regs. ¶ 31,253, at P 54 (2007) ("*Supplemental Policy Statement*"); *Ad Hoc Renewable*, 161 FERC ¶ 61,010; *AES Creative*, 129 FERC ¶ 61,239.

⁹ *Data Collection for Analytics & Surveillance and Market-Based Rate Purposes*, Order No. 860, 168 FERC ¶ 61,039, at P 140 (2019) ("Order No. 860") ("Nothing in this [F]inal [R]ule is intended to overturn the Commission's case-specific determinations as to passivity and an entity's reporting obligations under previously issued declaratory orders."), *order on reh'g*, Order No. 860-A, 170 FERC ¶ 61,129 (2020) ("Order No. 860-A").

¹⁰ Order No. 860-A, 170 FERC ¶ 61,129 at P 32.

facts the Commission relied upon in granting this request for a Declaratory Order.

II. DESCRIPTION OF PETITIONER

Petitioner UBS AM is a Delaware corporation and pursuant to the LP Agreement, the Advisor selected by the General Partner, Energy Storage I GP LLC.¹¹ Energy Storage I GP LLC¹² is a Delaware limited liability company and pursuant to the LP Agreement is the sole General Partner of ESIF and ESIF Feeder. ESIF is a Delaware limited partnership and is organized primarily to invest in utility-scale energy storage projects in North America. ESIF Feeder is a Delaware limited partnership and is organized primarily to invest in ESIF.

The General Partner and UBS AM have entered into an Advisory Agreement, whereby UBS AM will advise the General Partner on the day-to-day management of the affairs and business of the Partnership and will have the authority, subject to the general direction, supervision, oversight and review of the General Partner, to acquire, own, operate, manage, trade, hold, sell, exchange, finance, refinance, restructure, hedge, pledge, hypothecate and dispose of investments in any energy storage project or technology for the UBS Funds.¹³

Petitioner is not, and will not be, a “public utility” as that term is defined under the FPA. Instead, Petitioner will make direct or indirect investments in certain special purpose entities which may be public utilities.¹⁴ Petitioner will be privately owned and controlled by a group of natural

¹¹ LP Agreement § 3.1(c).

¹² A trust has been created which is the sole and managing member of the GP. The exclusive purpose and function of the trust is to own one hundred percent of the limited liability company interest of, and be the sole and managing member of the GP. The beneficiaries of the trust are the Limited Partners of ESIF. The Trust does not provide the beneficiaries veto or consent rights that are inconsistent with passive ownership.

¹³ LP Agreement § 3.1(c).

¹⁴ Petitioner also from time to time may make non-voting, purely passive investments in energy projects and companies, customarily in the form of development capital or other loans or limited partnership investments which convey no voting rights. Such investments do not create “affiliate” relationships for any relevant purpose and involve no management, direction or control over such energy projects and companies. *See generally Market-Based Rates for Wholesale Sales of Electric Energy, Capacity and Ancillary Services by Public Utilities*, Order No. 697, FERC Stats. &

persons, trusts, (or similar vehicles for the benefit of one or more individual persons), or institutional investors.

Pursuant to the LP Agreement, current and future LP Interests held by the LP Investors are, and will continue to be, passive in nature and in no case grant an exercise of control (including voting or equivalent rights in connection with any jurisdictional facility under the FPA) by any such LP Investor over the UBS Funds, or any public utility in which the UBS Funds hold an interest. Instead, pursuant to the provisions of the LP Agreement, the management, control, operation, and policy of the UBS Funds is vested exclusively with the GP.

III. DESCRIPTION OF PASSIVE LP INTEREST TRANSACTIONS

Consistent with the Commission's precedent in *Starwood*, the LP Interests are purely passive in nature and in no case involve or will involve an exercise of control, including voting or equivalent rights, in connection with any FPA jurisdictional facility through their investment in the UBS Funds. Moreover, the LP Investors' rights and obligations are limited to veto and consent rights necessary to protect their economic interests, and provide no authority to manage, direct or control the activities of any jurisdictional assets. With respect to the UBS Funds, the LP Investor may receive annual and quarterly reports, access to books and records, and periodically appraise the assets owned by the relevant fund. However, the LP Investors have no ability to manage, direct, or control the jurisdictional activities of any FERC jurisdictional asset. Instead, pursuant to the provisions of the LP Agreement, the management, control, operation, and policy of the UBS Funds is vested exclusively with the General Partner.¹⁵ In particular, the General Partner has the

Regs. [Reg. Preambles] ¶ 31,252, at PP 176-189 (2007) ("Order No. 697"); *see also Starwood*; *AES Creative*; and *Neptune Regional Transmission System, LLC*, 120 FERC ¶ 61,090 (2007).

¹⁵ LP Agreement § 3.1(b) ("The General Partner shall have complete and exclusive discretion in the management and control of the affairs and business of the Partnership and shall have all powers necessary, convenient or appropriate to carry out the purposes, conduct the business and exercise the powers of the Partnership, and all rights

exclusive discretion in the management and control of the affairs and business of the Partnership and shall have all powers necessary and appropriate to carry out the purposes, conduct the business, and exercise the powers of the Partnership on behalf and in the name of the Partnership to carry out any and all of the objectives and purposes of the Partnership,¹⁶ and the General Partner has selected the Advisor to fulfill these duties.

The rights of the LP Investors under the LP Agreement are limited to the veto and consent rights necessary to protect their economic investment, and include the following rights:

- **Advisory Committee:** The LP Agreement establishes an advisory committee comprised of a certain number of the LP Investors (“LPAC”) that are invited by the Advisor.¹⁷ No affiliate of the Advisor will be a member of the LPAC. The Advisor and the General Partner may consult with and obtain advice from the LPAC with respect to Partnership matters, including, without limitation, regarding strategy, valuation policy, audited financial statements and conflict of interest guidelines with respect to the Advisor and its Affiliates. The GP and Advisor can consult with and obtain advice from the LPAC regarding investment strategy, valuation policy, audited financial statements and conflict of interest guidelines.¹⁸ The General Partner and Advisor may also seek consent or approval of the LPAC for investment in an Affiliate of the General Partner or Advisor.¹⁹ The LPAC does not participate in the management or control of the business or affairs of the Partnership and will have no right, power or authority to act for or on behalf of or otherwise to bind the Partnership, the Advisor, the General Partner or any Limited Partner. The LPAC may, however, be asked to consent to Transactions on behalf of the Partnership involving a conflict of interest between the Partnership and the Advisor or their respective Affiliates or as may be necessary pursuant to the Advisers Act. Each member of the LPAC will have one vote on all matters considered by the LPAC and any action by the LPAC will require the affirmative vote of a majority of its members. The Advisor may from time to time adopt or modify rules and procedures governing the LPAC.
- **Limitations on the General Partner’s Powers:** The GP cannot settle any legal, arbitration or administrative proceedings brought against the GP or its affiliates by an Investor Majority;²⁰ the GP cannot extend the fund’s investment period without the

and powers that may be possessed by a general partner under the Act on behalf and in the name of the Partnership to carry out any and all of the objectives and purposes of the Partnership.”).

¹⁶ LP Agreement § 3.1.

¹⁷ LP Agreement § 3.6.

¹⁸ LP Agreement § 3.6.

¹⁹ LP Agreement § 3.7.

²⁰ LP Agreement § 3.2(r). An “Investor Majority” is defined under the LP Agreement as: Limited Partners

approval of the LPAC or extend the fund's term by more than two successive periods of one year each without the approval of the LPAC;²¹ the LPAC or Investor Majority must approve activities for a "successor fund";²² the GP cannot accept more than \$750,000,000 of capital commitments unless approved by the LPAC;²³ the GP cannot transfer all or any portion of its interest as GP of the fund without an affirmative vote of the Investor Majority;²⁴ the GP cannot effectuate a voluntary withdrawal unless: (a) the GP has provided Limited Partners with at least 90 days' prior written notice of its intention to resign and withdraw as the GP; and (b) a new GP has been selected and approved by the Investor Majority.²⁵

- **Termination of Advisor:** An Investor Majority can require the GP to terminate the Advisor for a "Cause Event."²⁶
- **Liquidation of the Partnership:** Upon dissolution of the Partnership, if the Advisor or the Advisory Agreement has been terminated, the Investor Majority will appoint a Liquidating Agent.²⁷
- **Amendments to the LP Agreement:** Subject to certain restrictions and qualifications, the consent of the Investor Majority is required to amend the LP Agreement.²⁸
- **Vacancies on the Advisory Committee:** Shall be appointed by the Advisor.
- **Investment Guidelines:** The General Partner is subject to the Investment Guidelines set forth on Exhibit A to the LP Agreement. Any deviation from these guidelines requires approval by an Investor Majority.²⁹

As discussed below, the Commission has found that such rights are consistent with

(excluding any (a) Limited Partners that are Affiliates of the Advisor or the General Partner, (b) the Carried Interest Partner and (c) any Interest the Advisor or the General Partner holds as a Limited Partner) representing more than fifty percent (50%) of all Percentage Interests of the Limited Partners (excluding any (a) Limited Partners that are Affiliates of the Advisor or the General Partner, (b) the Carried Interest Partner and (c) any Interest the Advisor or the General Partner holds as a Limited Partner).

²¹ LP Agreement at definition of "Investment Period."

²² LP Agreement § 3.7(f).

²³ LP Agreement § 5.2(a).

²⁴ LP Agreement § 10.1.

²⁵ LP Agreement § 10.2.

²⁶ LP Agreement § 10.6. The Cause Event is consistent with the Commission precedent and includes removal for fraud, material breach of the governing documents, felony, and willful misconduct. *AES Creative* at P 8, n.5.

²⁷ LP Agreement § 13.1.

²⁸ LP Agreement § 15.9.

²⁹ LP Agreement, Exhibit A.

passive investments in public utility assets and in no case involve an exercise of control, including voting or equivalent rights, in connection with any FPA jurisdictional facility.

IV. REQUEST FOR DECLARATORY ORDER

A. The Commission Should Disclaim Jurisdiction Under FPA Section 203 Over the Transactions.

The Transactions over which Petitioner is requesting that the Commission disclaim jurisdiction involve (1) the ability to invest in jurisdictional facilities with the understanding that the agreement governing the investment will contain the same rights and restrictions as set forth in the LP Agreement, (2) the sale by Petitioner from time to time in the future of additional passive LP Interests in the fund, and (3) any transaction by the LP Investor pertaining to its LP Interests (including entry and exit of such LP Investors to the fund). These Transactions may result in the lowering of Petitioner's retained economic interests in the UBS Funds, but as described below, will not result in a change in control over the UBS Funds.

FPA Section 203(a) requires that a public utility obtain Commission authorization before disposing of jurisdictional facilities. The Commission considers a change in upstream ownership of a public utility to be a disposition of jurisdictional facilities.³⁰ However, in its *Supplemental Policy Statement*, the Commission recognized that some investments in public utilities are passive and do not convey control. The Commission added that an investment is passive if:

(1) the acquired interest does not give the acquiring entity authority to manage, direct or control the day-to-day wholesale power sales activities, or the transmission in interstate commerce activities, of the jurisdictional entity; and (2) the acquired interest gives the acquiring entity only limited rights (*e.g.*, veto and/or consent rights necessary to protect its economic investment interests, where those rights will not affect the ability of the jurisdictional public utility to conduct jurisdictional activities); and (3) the acquiring entity has a principal business other than that of producing,

³⁰ *Supplemental Policy Statement*, FERC Stats. & Regs. ¶ 31,253 at P 45.

selling, or transmitting electric power.³¹

The Commission held that such passive investments are not subject to FPA Section 203(a)(1)(A).

In addition, in its decision in *AES Creative*, the Commission made clear that the ability to vote on limited matters related to asset preservation does not mean that the securities in question should be considered “voting securities” that may convey control, stating:

Since virtually all securities, including debt securities, confer on their owner rights to affect the issuer’s conduct in some way, the distinction between voting and non-voting securities cannot turn simply on the existence of such rights. For this reason the Commission has distinguished between rights that give an investor the “authority to manage, direct, or control the activities” of a company and rights that give investors “only those limited rights necessary to protect their ... investments.” The former make a security a voting security; the latter make it a non-voting security and thus a passive investment interest. These passive rights have the form of consent or veto rights, although there is no substantive distinction between the terms consent or veto in this context because the power that consent rights confer is the power to withhold consent, which when exercised is the equivalent of a veto.³²

Consistent with this determination, the Commission found that the rights of members of a limited liability company to approve the following actions were consistent with passive, nonvoting status: (i) incurrence of indebtedness; (ii) encumbrance of assets; (iii) capital expenditures; (iv) commingling of funds; (v) settlement of claims; (vi) actions resulting in failure to obtain governmental approvals; (vii) failure to deposit cash; (viii) reduction of insurance coverage; (ix) change in accounting method; and (x) issuance of additional equity interests.³³ As outlined in Section II, *supra*, the LP Agreement grants the LP Investors “only those limited rights necessary to protect their ... investments” and not the “authority to manage, direct, or control the activities”

³¹ *Supplemental Policy Statement* at P 54 (footnotes omitted).

³² *AES Creative* at P 25.

³³ *AES Creative* at P 28.

of a public utility.

In similar cases, the Commission has previously granted requests for a disclaimer of jurisdiction under FPA Section 203 with respect to transfers of passive interests similar to the LP Interests.³⁴ In *Starwood*, the Commission disclaimed jurisdiction under FPA Section 203(a)(1)(A) finding that the LP Investors “have no ability to control the day-to-day management or operations of the Starwood Funds or the Project Companies, and have the same limited consent rights as other passive ownership interests that the Commission found to be non-voting securities in *AES Creative* and other cases cited in that order.”³⁵ As a result, the Commission:

Disclaim[ed] jurisdiction under FPA section 203 as it concerns the purchase and sale of current and future LP Interests, and in so doing, specifically disclaim jurisdiction over case-specific transactions involving (1) the ability of the LP Investors to co-invest in jurisdictional facilities, with the understanding that the agreement governing the co-investment will contain the same rights and restrictions as set forth above in the LP/LLC Agreements, and (2) the sale by Starwood Energy Group from time to time in the future of additional passive LP Interests in the Starwood Funds. We also confirm that, to the extent relevant, these transactions will qualify for the blanket authorization under section 203(a)(2) of the FPA as provided by section 33.1(c)(2)(i) of the Commission’s regulations.³⁶

As in *Starwood*, in this case, (i) the LP Investors have no rights in the day-to-day management or operations of the UBS Funds or any FERC jurisdictional facilities, and (ii) the LP Investors have the same voting rights as other passive ownership interests that the Commission has found in other cases to be non-voting securities.³⁷

³⁴ See *Starwood*; *NextEra Energy Partners, LP*, 150 FERC ¶ 61,071 (2015) (“*NextEra*”); *Solios Power, LLC*, 114 FERC ¶ 61,161 (2006); *D.E. Shaw Plasma Power, L.L.C.*, 102 FERC ¶ 61,265, at PP 19-20 (2003).

³⁵ *Starwood* at P 17.

³⁶ *Starwood* at P 18.

³⁷ See *NextEra*, where the Commission found certain limited partnership interests in NextEra to be passive investments that did not provide the holders of these interests with the “authority to manage, direct, or control the day-to-day activities of NextEra Partners or any of its subsidiaries, or its jurisdictional facilities.” *NextEra* at PP 29-30. See also *AES Creative* at P 28.

Similar to the commitments that the Starwood entities made, Petitioner conditions its request for declaratory order in this proceeding upon there being no material changes in the rights and obligations of the LP Investors, as described in this Petition. Under these conditions, Petitioner submits that, consistent with Commission precedent, the LP Interests will constitute non-voting securities for all purposes and that no LP Investor will have the power to control the UBS Funds or any other public utilities in which the UBS Funds will hold direct or indirect interests.

For all of the reasons discussed above, Petitioner requests that the Commission issue a declaratory order finding that, based upon the conditions in this Petition, current and future LP Interests are passive investments that do not allow the LP Investors to control the UBS Funds or future Commission jurisdictional public utilities. Because the LP Interests are passive, Petitioner also requests that the Commission find in such declaratory order that the Transactions will not require case specific approval pursuant to FPA Section 203 and, to the extent relevant, will qualify for the blanket authorization with respect to non-voting securities under 18 C.F.R. § 33.1(c)(2)(i).

B. The Commission Should Declare That the LP Investors Will Not Be Deemed Affiliates of ESIF (or Future UBS Funds) in Future FPA Sections 203 or 205 Filings.

The Commission's regulations setting forth the contents of (1) an application for authorization under FPA Section 203, (2) an application for acceptance under FPA Section 205 of a market-based rate tariff, (3) a notice of change in status under FPA Section 205, or (4) an updated market power analysis under FPA Section 205, require the identification of the applicant's affiliates.³⁸

In *AES Creative*,³⁹ the Commission found that passive equity investors were not "affiliates"

³⁸ See 18 C.F.R §§ 33.2(c)(2); 35.37(a)(1) & (2); 35.42(c).

³⁹ See *AES Creative* at PP 25-26 (finding that consent or veto rights that give investors "only those limited rights necessary to protect their ... investments" are passive investment interests that do not confer control over a public utility or

of a market-based rate applicant because passive interests with limited investor consent or veto rights to protect an investment are not considered voting securities. Further, the Commission stated that such investors' passive ownership interests in generating assets need not be listed in the applicant's asset appendix for purposes of the market power analysis because the owners of those generating assets were not affiliated with the applicants.⁴⁰ Moreover, in *Starwood*, the Commission found that because "the LP Interests are passive investments with limited voting rights necessary to protect their economic interests," that the Starwood Funds did "not need to identify the LP Investors in any future section 205 market-based rate application, updated market power analysis, or notice of change in status."⁴¹

Similarly, here, the LP Investors should not be considered to be affiliates of the Petitioner for any purpose because the LP Interests are passive investments. As discussed above, the limited rights held by the LP Investors with respect to the UBS Funds are intended to protect the LP Investors' economic interests and do not confer control over the Petitioner, or any Commission-jurisdictional facilities. Moreover, future LP Investors in the UBS Funds will also hold only passive LP Interests.

The passive LP Interests provide limited consent rights with respect to certain major actions designed only to protect the LP Investors economic interests as previously described and include limited rights to remove the Advisor. These interests are very similar to the investments found to

allow the investors to participate in the public utility's day-to-day operations); *see also Transactions Subject to FPA Section 203*, Order No. 669, FERC Stats. & Regs. ¶ 31,200, at P 144 (2005) (granting blanket authorization for the purchase of "any non-voting security that does not convey sufficient veto rights over management actions so as to convey control"); 18 C.F.R. § 33.1(c)(2)(i) (same).

⁴⁰ *AES Creative* at P 21.

⁴¹ *Starwood* at P 21.

be passive in *AES Creative*⁴² and *Starwood*.⁴³

Moreover, the Commission in Order No. 697 held that “an entity controls the facilities when it controls the decision-making over sales of electricity, including discretion as to how and when power generated by these facilities will be sold.”⁴⁴ LP Investors have no control over decisions relating to sales of electricity or how and when power is generated.

Consistent with the Commission’s rulings in *Starwood*, *AES Creative*, and Order No. 697, Petitioner requests that the Commission declare that, because the LP Interests are passive, non-voting interests, the UBS Funds or its affiliates do not need to identify the LP Investors in any future FPA Section 203 application, FPA Section 205 market-based rate application, notice of change in status or updated market power analysis, subject to the commitment that there will be no material changes in the rights and obligations of the LP Investors from what is set forth herein.

C. The Commission Should Disclaim Jurisdiction Over the UBS Funds and the LP Investors Under FPA Section 201 and Determine that the LP Investors Are Exempt from Regulation Under PUHCA.

Neither the UBS Funds nor the LP Investors should be deemed to be public utilities under FPA Section 201(e), which defines a public utility as “any person who owns or operates facilities subject to the jurisdiction of the Commission” under Part II of the FPA.⁴⁵ Neither the UBS Funds nor the LP Investors will have any direct ownership or operational interest in any Commission-jurisdictional facilities and therefore do not fall within the definition of a public utility in FPA Section 201(e). In *D.E. Shaw Plasma, LLC*, the Commission confirmed its longstanding precedent that upstream owners of a public utility are not themselves public utilities by reason of such

⁴² *AES Creative* at PP 26-28.

⁴³ *Starwood* at P 21.

⁴⁴ Order No. 697, FERC Stats. & Regs. [Reg. Preambles] ¶ 31,252 at P 176.

⁴⁵ 16 U.S.C. § 824(e).

ownership and agreed that “it would be inconsistent with the statutory definition of a public utility to assert jurisdiction over such parent companies because they do not themselves own or operate FPA jurisdictional facilities.”⁴⁶

Moreover, as demonstrated herein, the LP Investors acquire only passive upstream interests in Commission-jurisdictional facilities through investments in the UBS Funds. As a result, the LP Investors have no control over the day-to-day management decisions of any Commission-jurisdictional facility. In *D.E. Shaw Plasma, LLC*, the Commission disclaimed jurisdiction over passive investors who had no “authority to manage, direct or control the activities of the [public utility] in its day-to-day operations”⁴⁷ The LP Investors here are not and will not be able to direct the management or policies of any public utility. Although the LP Investors have the rights set forth in Section II, *supra*, these rights serve only to protect their financial investment and, as noted, the Commission has previously held that such rights do not confer control.

The Commission should also determine that the LP Investors are exempt from regulation under PUHCA pursuant to section 366.3(b)(2)(i) of the Commission’s regulations, which provides an exemption for “passive investors, so long as the ownership remains passive.”⁴⁸ Consistent with its findings in *Starwood*, because the LP Interests are passive non-voting securities, the LP Investors are not holding companies with respect to any public-utility companies in which ESIF (or future UBS Funds) hold investments⁴⁹

Accordingly, Petitioner requests that the Commission disclaim jurisdiction under FPA Section 201 over the UBS Funds and the LP Investors and determine that the LP Investors are

⁴⁶ 102 FERC ¶ 61,265, at PP 13-15 (2003). *See also Starwood* at P 23.

⁴⁷ *D.E. Shaw*, 102 FERC ¶ 61,265 at P 19.

⁴⁸ 18 C.F.R. § 366.3(b)(2)(i).

⁴⁹ *Starwood* at P 24.

exempt from PUHCA, subject to the commitment that there will be no material changes in the rights and obligations of the LP Investors or the UBS Funds from what is set forth herein.

V. REQUEST FOR EXPEDITED CONSIDERATION

Petitioner is in late-stage discussions on potential investments. Accordingly, to facilitate that and future Transactions, Petitioner respectfully requests that the Commission provide for a 21-day comment period and issue a declaratory order as described above no later than July 15, 2022.

VI. COMMUNICATIONS

All communication and correspondence with respect to this filing should be directed to the following individuals. Petitioner respectfully requests waiver of Rule 203(b)(3) of the Commission's Rules of Practice and Procedure, 18 C.F.R. § 385.203(b)(3), to permit all persons listed to be placed on the official service list for this proceeding:

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VII. REQUEST FOR CONFIDENTIAL TREATMENT

Pursuant to Section 388.112(b) of the Commission's regulations,⁵⁰ Petitioner requests confidential treatment for Exhibits A and B, respectively, which contain structural organizational

⁵⁰ 18 C.F.R. § 388.112.

charts and relevant excerpts of the LP Agreement, setting forth the material rights and limitations on those rights of the General Partner, Advisor, and the LP Investors. These charts and excerpts contain commercially sensitive information, the public disclosure of which would cause competitive harm to Petitioner and could severely hamper the ability of the parties to engage in negotiations with respect to future transactions of a similar nature. Petitioner submits Exhibits A and B of this Petition confidentially and ask that they be placed in the Commission's non-public files. Petitioner understands that the Commission Staff will notify them in advance of any public disclosure of any information contained in Exhibits A and B. As required by the Commission's regulations, Petitioner has included as Exhibit C hereto a proposed protective agreement under which parties to the proceeding will be able to review the information for which privileged treatment is sought.⁵¹ The proposed form of protective agreement is similar to the Commission's Model Protective Order.

VIII. CONTENTS OF THIS FILING

In addition to this filing letter, the following documents are submitted with this filing:

Exhibit A – Energy Storage Investment Fund I Structure Chart

Exhibit B – LP Agreement (Relevant Excerpts)

Exhibit C – Form of Protective Agreement

IX. CONCLUSION

For the reasons stated herein, Petitioner respectfully requests that the Commission issue a declaratory order making the determinations requested in Section I, no later than July 15, 2022.

⁵¹ 18 C.F.R. § 33.9.

Respectfully submitted,

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